Chapter 12. Generalized Least Squares

Correlated and heteroscedastic errors, GLS estimator, properties

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12.1 The general linear model

Uncorrelated equal-variance errors fail for time series, clustered or heteroscedastic data. The **general linear regression model** is

$$\mathbf{y} = X\beta + \epsilon, \qquad \epsilon \sim N_n(\mathbf{0}, \sigma^2 V),$$

with V a known positive definite matrix, X of size $n \times (p+1)$ and full column rank. Ordinary least squares (OLS) is no longer the BLUE.

Since V is symmetric positive definite, $V = P\Lambda P'$ with P orthogonal, and $T = P\Lambda^{1/2}$ satisfies $V = TT'$. Multiply the model by T^{-1}:

$$\mathbf{z} = W\beta + \eta, \qquad \mathbf{z} = T^{-1}\mathbf{y}, \quad W = T^{-1}X, \quad \eta = T^{-1}\epsilon,$$

and $\operatorname{Var}\eta = \sigma^2 T^{-1}V(T^{-1})' = \sigma^2 T^{-1}TT'(T')^{-1} = \sigma^2 I_n$. The transformed model satisfies the usual assumptions.

Theorem 12.1 (Generalized least squares)

The BLUE of β is the **generalized least squares** (GLS) estimator

$$\hat\beta_G = (W'W)^{-1}W'\mathbf{z} = (X'V^{-1}X)^{-1}X'V^{-1}\mathbf{y},$$

which minimizes $(\mathbf{y}-X\beta)'V^{-1}(\mathbf{y}-X\beta)$. It satisfies $E\hat\beta_G = \beta$ and $\operatorname{Var}\hat\beta_G = \sigma^2(X'V^{-1}X)^{-1}$.

Proof. Apply Gauss–Markov (Theorem 7.1) to the transformed model (T invertible, so linear unbiased estimators correspond). With $(T^{-1})'T^{-1} = V^{-1}$: $W'W = X'V^{-1}X$, $W'\mathbf{z} = X'V^{-1}\mathbf{y}$ and

$$\|\mathbf{z} - W\beta\|^2 = (\mathbf{y}-X\beta)'V^{-1}(\mathbf{y}-X\beta).$$

Then $E\hat\beta_G = \beta$ and $\operatorname{Var}\hat\beta_G = (X'V^{-1}X)^{-1}X'V^{-1}(\sigma^2 V)V^{-1}X(X'V^{-1}X)^{-1} = \sigma^2(X'V^{-1}X)^{-1}$. ■

When V is diagonal, $V = \operatorname{diag}(v_i)$, GLS is **weighted least squares** with weights $w_i = 1/v_i$: minimize $\sum w_i(y_i - \mathbf{x}_i'\beta)^2$, giving less weight to noisier observations.

12.2 Properties

OLS under correlated errors. The OLS estimator $\hat\beta = (X'X)^{-1}X'\mathbf{y}$ is still unbiased, but

$$\operatorname{Var}\hat\beta = \sigma^2(X'X)^{-1}X'VX(X'X)^{-1},$$

which is at least $\sigma^2(X'V^{-1}X)^{-1}$ (by Gauss–Markov), with equality when $V = I$ (more generally, when the column space of X is invariant under V).

Residuals and σ^2. The GLS residual vector is $\mathbf{e}_G = \mathbf{y} - X\hat\beta_G = \{I - X(X'V^{-1}X)^{-1}X'V^{-1}\}\mathbf{y}$, with

$$E\mathbf{e}_G = \mathbf{0}, \qquad \operatorname{Var}\mathbf{e}_G = \sigma^2\{V - X(X'V^{-1}X)^{-1}X'\}.$$

Theorem 12.2

$SSE(\hat\beta_G) = \mathbf{e}_G' V^{-1}\mathbf{e}_G$ satisfies $E\,SSE(\hat\beta_G) = (n-p-1)\sigma^2$, so

$$\tilde\sigma^2 = \frac{(\mathbf{y} - X\hat\beta_G)' V^{-1}(\mathbf{y} - X\hat\beta_G)}{n-p-1}$$

is unbiased for σ^2, and $\widehat{\mathrm{Var}}(\hat\beta_G) = \tilde\sigma^2 (X'V^{-1}X)^{-1}$.

Proof. $SSE(\hat\beta_G)$ is the residual sum of squares of the transformed model, $\|\mathbf{z} - W\hat\beta_G\|^2$, whose expectation is $(n-p-1)\sigma^2$ (Theorem 6.2). Directly: by Theorem 5.4(a),

$$\begin{aligned} E(\mathbf{e}_G' V^{-1}\mathbf{e}_G) &= \sigma^2 \mathrm{tr}[V^{-1}\{V - X(X'V^{-1}X)^{-1}X'\}] \\ &= \sigma^2\{n - \mathrm{tr}((X'V^{-1}X)^{-1}X'V^{-1}X)\} = \sigma^2(n-p-1). \end{aligned}$$

■

By contrast, the OLS estimate $\hat\sigma^2 = \mathbf{y}'(I-H)\mathbf{y}/(n-p-1)$ has

$$E\hat\sigma^2 = \frac{\sigma^2}{n-p-1}[\mathrm{tr}V - \mathrm{tr}\{(X'X)^{-1}X'VX\}],$$

which in general differs from σ^2, so the usual OLS standard errors $\hat\sigma^2(X'X)^{-1}$ are biased in two ways under correlated errors.

Under normality, all the inference of Chapters 6–8 carries over to the transformed model: for instance $\hat\beta_G \sim N(\beta, \sigma^2(X'V^{-1}X)^{-1})$, $(n-p-1)\tilde\sigma^2/\sigma^2 \sim \chi^2(n-p-1)$, and t and F tests use $\tilde\sigma^2$.

Example 12.1 (Averages with unequal precision)

Suppose $y_i = \mu + \epsilon_i$ where y_i is the average of m_i measurements, so $\mathrm{Var}\,\epsilon_i = \sigma^2/m_i$ and $V = \mathrm{diag}(1/m_i)$. Then $X = \mathbf{1}$ and

$$\hat\mu_G = \frac{\sum m_i y_i}{\sum m_i}, \qquad \mathrm{Var}\,\hat\mu_G = \frac{\sigma^2}{\sum m_i},$$

the grand average of all measurements. The OLS estimate $\bar y$ has variance $\frac{\sigma^2}{n^2}\sum \frac{1}{m_i} \geq \frac{\sigma^2}{\sum m_i}$ by the harmonic–arithmetic mean inequality.

12.3 Selected exercises

Motivation. OLS facts under correlated errors (Section 12.2), and WLS through the origin.

Exercise 12.1 (OLS under a general covariance)

Let $\mathbf{y} = X\beta + \epsilon$ with $E\epsilon = \mathbf{0}$, $\mathrm{Var}\,\epsilon = \sigma^2 V$, V known positive definite and X of full column rank $p+1$. Let $\tilde\beta = (X'X)^{-1}X'\mathbf{y}$ and $\hat\sigma^2 = \mathbf{y}'(I-H)\mathbf{y}/(n-p-1)$.
(a) Derive $E\tilde\beta$ and $\mathrm{Var}\,\tilde\beta$.
(b) Derive $E\hat\sigma^2$.
(c) Show that if $VX = XQ$ for some matrix Q, then $\tilde\beta = \hat\beta_G$.
(d) Let $V = (1-\rho)I_n + \rho J_n$ with $-1/(n-1) < \rho < 1$ (equicorrelated errors), and let X contain the intercept column. Show that OLS and GLS coincide.

Solution.

(a) $E\tilde{\beta} = (X'X)^{-1}X'X\beta = \beta$ and

$$\operatorname{Var}\tilde{\beta} = (X'X)^{-1}X'(\sigma^2 V)X(X'X)^{-1} = \sigma^2(X'X)^{-1}X'VX(X'X)^{-1}.$$

(b) By Theorem 5.4(a) with mean $X\beta$, covariance $\sigma^2 V$ and $(I-H)X = 0$,

$$\begin{aligned} E\{\mathbf{y}'(I-H)\mathbf{y}\} &= \sigma^2 \operatorname{tr}\{(I-H)V\} = \sigma^2\big[\operatorname{tr}V - \operatorname{tr}\{X(X'X)^{-1}X'V\}\big] \\ &= \sigma^2\big[\operatorname{tr}V - \operatorname{tr}\{(X'X)^{-1}X'VX\}\big], \end{aligned}$$

using $\operatorname{tr}(AB) = \operatorname{tr}(BA)$. Dividing by $n-p-1$ gives the formula of Section 12.2.

(c) VX has full column rank (V is nonsingular), so XQ does, and the square matrix Q is nonsingular. Then $V^{-1}X = XQ^{-1}$ and $X'V^{-1} = (Q^{-1})'X'$, so

$$\hat{\beta}_G = \{(Q^{-1})'X'X\}^{-1}(Q^{-1})'X'\mathbf{y} = (X'X)^{-1}Q'(Q^{-1})'X'\mathbf{y} = (X'X)^{-1}X'\mathbf{y} = \tilde{\beta}.$$

(d) V has eigenvalue $1+(n-1)\rho$ on $\mathbf{1}$ and $1-\rho$ on $\mathbf{1}^{\perp}$, both positive, so V is positive definite. If the intercept is the first column, $\mathbf{1} = X\mathbf{e}_1$, so $J_n X = \mathbf{1}\mathbf{1}'X = X\mathbf{e}_1\mathbf{1}'X$ and

$$VX = (1-\rho)X + \rho X\mathbf{e}_1\mathbf{1}'X = X\{(1-\rho)I + \rho\,\mathbf{e}_1\mathbf{1}'X\} = XQ.$$

By (c), $\tilde{\beta} = \hat{\beta}_G$: with equicorrelated errors and an intercept, OLS is BLUE, although its usual standard errors and $\hat{\sigma}^2$ are still biased by (a)–(b). ■

Exercise 12.2 (Weighted least squares through the origin)

Let $y_i = \beta x_i + \epsilon_i$, $i = 1, \dots, n$, with $x_i > 0$, uncorrelated errors, $E\epsilon_i = 0$ and $\operatorname{Var}\epsilon_i = \sigma^2 x_i$.
(a) Show that the GLS estimator is $\hat{\beta}_G = \bar{y}/\bar{x}$, with $\operatorname{Var}\hat{\beta}_G = \sigma^2/(n\bar{x})$.
(b) Find the variance of the OLS estimator $\tilde{\beta} = \sum x_i y_i / \sum x_i^2$.
(c) Verify directly that $\operatorname{Var}\tilde{\beta} \geq \operatorname{Var}\hat{\beta}_G$, with equality iff all x_i are equal.

Solution [Supplement].

(a) $V = \operatorname{diag}(x_i)$ and $X = (x_1, \dots, x_n)'$, so $X'V^{-1}X = \sum x_i^2/x_i = \sum x_i$ and $X'V^{-1}\mathbf{y} = \sum y_i$. By Theorem 12.1, $\hat{\beta}_G = \sum y_i / \sum x_i = \bar{y}/\bar{x}$ and $\operatorname{Var}\hat{\beta}_G = \sigma^2/\sum x_i = \sigma^2/(n\bar{x})$.

(b) $\operatorname{Var}\tilde{\beta} = \sum x_i^2 \operatorname{Var} y_i / (\sum x_i^2)^2 = \sigma^2 \sum x_i^3 / (\sum x_i^2)^2$.

(c) Need $(\sum x_i^2)^2 \leq \sum x_i \sum x_i^3$: Cauchy–Schwarz with $a_i = x_i^{1/2}$, $b_i = x_i^{3/2}$, equality iff $x_i = b_i/a_i$ is constant (cf. Section 12.2). The GLS estimator is the *ratio estimator*, natural when the spread of y grows with x. ■